

INDIA TODAY

www.indiatoday.com

Editor-in-Chief: Aroon Purie

Chief Executive Officer: Ashish Bagga

Editor: Prabhu Chawla

Managing Editors: Raj Chengappa, Dilip Bobb, Shankar Aiyar

Executive Editors: Kaveree Bamzai, S. Prasannarajan

Deputy Editors: Farzand Ahmed, Damayanti Datta,

Ashok K. Damodaran, Sharda Ugra

Senior Editors: Malini Bhupta (Mumbai), Amarnath K. Menon (Hyderabad)

Photo Editor: Bandee Singh

Art Editor: Sapnaa Kapoor

Associate Editors: Saurabh Shukla, Uday Mahurkar (Ahmedabad),

Ramesh Vinayak (Chandigarh)

Assistant Editors: S. Sahaya Ranjit, Priya Sahgal, Sandeep Unnithan,

Subhash Mishra (Lucknow)

Special Correspondents: Kimi Dangor (Mumbai), Rohit Parihar (Jaipur),

Nirmala Ravindran (Bangalore),

M.G. Radhakrishnan (Thiruvananthapuram)

Principal Correspondents: Satarupa Bhattacharjya, Nandini Vaish,

BANGALORE: Stephen David, BHOPAL: Ambresh Mishra

KOLKATA: Swagata Sen

Senior Correspondents: Aditi Pai (Mumbai)

Copy Desk: Shalini S. Sharma (Assistant Editor), Kaushik Deka,

Sangram Keshari Parhi, V. Shoba, Priyanka Sood, Rahul Tewari,

Priya Verma, Anju Yadav

Photo Department: Hemant Chawla, Sipra Das, Yashant Negi,

Ishan Tankha, Ravi Sahani, AHMEDABAD: Shailesh Raval, BANGALORE: Gireesh G.V.,

CHENNAI: H.K. Rajashekar, MUMBAI: Mandar Deodhar,

Shriya Patil, Bhaskar Paul,

Rashmi Hajela (Chief Photo Researcher)

Infographics and Illustrations: Saurabh Singh

Art Department: Madhu Bhaskar (Associate Art Director), Ranjita Bhattacharji,

Vandana Nayar (Deputy Art Directors), Rasmi Ajmani Girdhar, Vanita Arora,

Pushvinder Kaur, Jyoti K Singh

Production Department: Surinder Hastu (Chief of Production),

Harish Aggarwal, Naveen Gupta

Associate Publishers: Malcolm D. Mistry (Impact)

Umesh Kumar (Marketing)

IMPACT TEAM

Director (Impact): Manoj Sharma

Senior General Manager: Anil Fernandes (West & South)

Head (Impact): Ashok Bindra (North)

General Managers: Kaustav Chatterjee (East),

Carl Avari (Bangalore), V. Somasundaram (Chennai)

Consumer Marketing Services: Poonam Sangha, Senior General Manager

Newsstand Sales: Vivek Gaur, Executive Director

D.V.S. Rama Rao, Senior General Manager (National Sales)

C.V. Vaidyalingam, Senior General Manager (South)

Vinod Das, General Manager (North)

Rajesh Menon, General Manager (West)

Rajeev Gandhi, Regional Manager (East)

OPERATIONS: S. Sridhar, General Manager



Volume XXXIII Number 11; For the week March 11-17, 2008, released on March 10

● Editorial Office Living Media India Ltd. F-14/15, Connaught Place New Delhi 110001; Phones: 23315801-4; Fax: 23316180; Cable: Livmedia, New Delhi
● Subscriptions: For assistance contact Customer Care India Today Group, A-61, Sector-57, Noida (UP)-201301; Phones: Toll-free number: 1800 1800 100 (from BSNL/MTNL lines); (95120) 2479900 from Delhi and Faridabad; (0120) 2479900 from Rest of India (Monday-Friday, 10 a.m.-6 p.m.); Fax: (0120) 4078080; e-mail: weareindiatoday.com; Mumbai: 022-24444423-6; Fax: 24444358 ● Sales: Direct all trade enquiries to General Manager (Sales), Living Media India Limited, 201 Competent House, F-14, Middle Circle, Connaught Place, New Delhi ● Regd. Office: K-9 Connaught Circus, New Delhi 110001 ● Impact Offices: Trade Centre, 2nd Floor, Kamla City, Senapati Bapat Marg, Lower Parel, Mumbai 400013; Phone: 24983355; Fax: 24982266 ● Hamilton House, 1-A, Connaught Place, New Delhi 110001; Phone: 23323233; Fax: 23327330 ● 99-A, Dr. Radhakrishnan Salai, 2nd Floor, Mylapore, Chennai-600 004; Phones: 28478526-41; Telex: 041-6177 Into In; Fax: 28472178; Cable: Livmedia Chennai ● 201-204 Richmond Towers, 2nd Floor, 12, Richmond Road, Bangalore-560025; Phones: 22212448, 22213037, 22218343; Fax: 22218335; Cable: Livmedia, Bangalore ● 52, Jawaharalal Nehru Road, 4th Floor, Kolkata-700071; Phones: 22825398; Fax: 22827254; Cable: Livmedia, Kolkata ● 6-3-885/7B, Somajiguda, Hyderabad-500082; Phone: 23401657, 23400479, 23410100, 23402481, 23410982, 23411498; Fax: 23403484 ● 39/1045, Karakatt Road, Kochi 682016; Phones: 2377057, 2377058; Fax: 2377059 ● 2C, "Suryarath Bldg", 2nd Floor, Behind White House, Panchwati, Office C.G. Road, Ahmedabad-380006; Phone: 26560393, 26560929; Fax: 26565293

● Copyright Living Media India Ltd. All rights reserved throughout the world. Reproduction in any manner is prohibited. Printed and published by Ashish Bagga on behalf of Living Media India Ltd. Printed at Thomson Press India Ltd., 18-35 Milestone, Delhi Mathura Road, Faridabad-121007 (Haryana), at Thomson Press India Ltd., A-9, Industrial Complex, Maraimalai Nagar, District Kancheepuram-603209, (Tamil Nadu), and at Thomson Press India Ltd., Plot No. 5-5A, TTC Industrial Area, Thane, Belapur Road, Airoli, Navi Mumbai-400708, (Maharashtra). Published at K-9, Connaught Circus, New Delhi-110001.

● India Today does not take responsibility for returning unsolicited publication material.

All disputes are subject to the exclusive jurisdiction of competent courts and forums in Delhi/New Delhi only

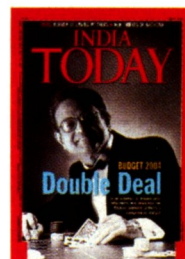
The coincidence was impossible to miss. Even as Finance Minister P Chidambaram was delivering his sop opera in the form of this year's Budget, a flurry of activity indicated that the UPA Government, aware of the threat from its Left allies, was pushing ahead with the Indo-US nuclear deal. Taken together, they point to one inescapable conclusion: the UPA is getting ready for early elections and Chidambaram's Budget with its sops and concessions for virtually every section of the voting public will form the cornerstone of its campaign.

It was, in many ways, like a campaign speech, as our cover line indicates. Prime Minister Manmohan Singh who, along with UPA Chairperson Sonia Gandhi, had a prominent say in the Budget's thrust, described it as being for the "aam aadmi", the Congress party's electoral slogan. Chidambaram himself acknowledged that "every budget is a political budget" but the message was clear. The Congress party's campaign has begun and the Kodak moments showing Sonia and the prime minister surrounded by celebrating farmers, albeit stage managed, were as revealing as an election rally in rural India.

The Rs 60,000 crore question our cover story asks is, will it translate into votes? The populist move affects 40 million farmers which translates into 200 million people and is expected to influence voting in 380 constituencies. Similarly, the money allocated in the budget for Muslim minorities is aimed at 90 constituencies and about 140 million people, which means roughly 90 million voters. Chidambaram's subtle assurance of the acceptance of the Sixth Pay Commission is expected to benefit over 12 million workers in Central and state governments besides local self governments, translating into nearly 50 million votes. The concessions to SC, ST will impact 120 Lok Sabha seats. Add to that the generous sops to the middle-class, lower middle-class and women and the picture is clear. Sonia Gandhi has been calling groups of MPs and telling them to go back to their constituencies and "spread the message of the Budget."

For UPA, the gameplan is clear. The Government has been plagued with allegations of having come to power on the aam aadmi plank but doing little for them. It is still struggling to shrug off the perception of being pro-rich. This Budget is an attempt to reverse that image. Our cover story analyses the Congress's poll strategy, the politics of the Budget and its implications. We also take a look at earlier schemes in pre-poll budgets and see how effective they have been as well as their impact on election results. Finally, we have our regular Board of INDIA TODAY Economists who analyse the fingerprint of the Budget and look at its impact on the economy. With 10 states going to the polls in 2008, the politicians are betting on their economic populism to win the elections. Whether they will or not, is another matter. The Indian voter has surprised us all many a time.

(Aroon Purie)



Our July '04 issue